

Dunkin' Campus Pricing Project

Perks & Risks of Opening on Campus, and the Survey Question Set (Versions A/B/C)

MKT465 Dunkin' capstone - University of Rochester, Simon Business School

Perks of Dunkin' Opening on River Campus

- Prior Simon research already found high consumer utility (4.2/5 on a Likert scale) for a campus Dunkin' - validated demand before committing capital.
- Dunkin's off-campus reference prices are cheaper than the on-campus Starbucks incumbent, so Dunkin' can win price-sensitive students without even discounting, and has room to test a 25-cent cut.
- River Campus concentrates a large, walkable population with predictable daily traffic (class changes, morning commute, finals-week study sessions) - lower customer acquisition cost than an off-campus location.
- Brand loyalty transfer: students from Dunkin'-heavy home regions already have the habit, no need to build awareness from zero.
- Daypart differentiation: Dunkin's speed/value/donut-and-coffee identity is a different niche than Starbucks' 'third place' study-lounge positioning - could capture the 'grab and go between classes' segment.
- Being the only quick-service (non-espresso-bar) coffee chain on campus, rather than a second sit-down cafe.

Risks of Dunkin' Opening on River Campus

- Exclusive dining contracts: universities often have long-term exclusive foodservice agreements that could block Dunkin' from operating on campus at all, or restrict which payment systems it can accept - check this first.
- Meal-plan/campus-cash lock-in: if Dunkin' can't accept the university's dining dollars the way Starbucks/Peet's/Brew already do, students may default to whichever cafe is inside their prepaid plan regardless of price.
- Crowded competitive set: three incumbents (Starbucks, Peet's, Brew) already split the on-campus coffee wallet - a fourth entrant fights for share of a fixed population, not new demand.
- Campus retail space is typically leased through the university at a premium or on revenue-share terms that erode Dunkin's normally thin margins.
- Franchisee economics: a college calendar means several 'dead' months a year (breaks, summer) unlike a standard retail location - the unit economics need to work despite that.
- Cannibalization vs. incrementality is unproven: a lower campus price might just steal share from Starbucks/Peet's/Brew at lower margin per cup, rather than growing total coffee occasions.
- Brand-fit/perception risk is exactly what the original Simon research and this survey need to quantify - it's not yet known how Dunkin's identity is perceived relative to Starbucks in this specific student population.

Survey Question Set

All three Google Forms versions (A/B/C) share the same 13 questions in the same order. Only Q10 and Q11 (the pricing questions) differ between versions - each respondent is randomly assigned one version, and therefore sees only one price point per product. The shared questions are listed once below; the version-specific pricing questions follow in a table.

Section 1 - Screening

Q1 [Multiple choice, required]

Are you currently a student, faculty, or staff member at the University of Rochester?

Yes | No

Skip logic: "No" routes straight to the end of the survey.

Q2 [Multiple choice, required]

Do you drink hot coffee or lattes at least occasionally?

Yes | No

Skip logic: "No" routes straight to the end of the survey.

Section 2 - About you

Q3 [Multiple choice, required]

What is your status?

Undergraduate student | Graduate student | Staff | Faculty

Q4 [Multiple choice, required]

Do you live on campus or off campus?

On campus | Off campus

Q5 [Multiple choice, required]

Do you have a University dining plan or dining dollars?

Yes | No

Q6 [Multiple choice, required]

In a typical week, how often do you buy coffee or a latte on or near campus?

0 times | 1-2 times | 3-5 times | 6+ times

Q7 [Multiple choice, required]

Which of the following do you currently buy coffee from most often?

Starbucks - Wilson Commons | Peet's Coffee - Wegmans Hall | Brew | An off-campus coffee shop | I make my own | Other (write-in)

Section 3 - Dunkin' brand awareness

Q8 [Linear scale 1-5, required]

How familiar are you with Dunkin' as a brand?

1 = Not at all familiar | 5 = Extremely familiar

Q9 [Linear scale 1-5, required]

If Dunkin' opened a location on River Campus, how interested would you be in trying it?

1 = Not at all interested | 5 = Extremely interested

Section 5 - Payment method

Q12 [Linear scale 1-5, required]

If Dunkin' did NOT accept University dining dollars or meal-plan swipes (cash/card only), how would that affect your likelihood of buying there?

1 = Much less likely | 5 = No change

Section 6 - Open-ended (optional)

Q13 [Paragraph, optional]

What, if anything, would make you choose Dunkin' over Starbucks, Peet's, or Brew on campus?

Section 4 - Pricing (version-specific: Q10 and Q11)

Q10 [Linear scale 1-5, required]: If Dunkin' opened on campus and sold a medium hot coffee for \$[PRICE], how likely would you be to purchase it instead of your usual coffee? (1 = Very unlikely ... 5 = Very likely)

Q11 [Linear scale 1-5, required]: If Dunkin' opened on campus and sold a medium hot latte for \$[PRICE], how likely would you be to purchase it instead of your usual latte? (1 = Very unlikely ... 5 = Very likely)

Version	Hot coffee price	Latte price
Version A - 25c discount	\$2.75	\$5.00
Version B - match off-campus	\$3.00	\$5.25
Version C - 25c premium	\$3.25	\$5.50

Off-campus Dunkin' reference price: \$3.00 hot coffee / \$5.25 latte. Rotation: respondent 1, 4, 7, 10 -> Version A; 2, 5, 8 -> Version B; 3, 6, 9 -> Version C.